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A SOLAR FARM owner in Rajasthan placed a big bet on harnessing the sun with a lump sum investment. However, as the unpredictability of the climate would have it, in 2023, the state received low sunshine on several days, resulting in the underperformance of the farm owner's million dollar firm.

To clear the clouds over his returns, he opted for a parametric cover and now receives payout on

low sunshine days.

He's not alone. There has been growing interest in parametric insurance among renewable energy players, including investors and lenders looking for protection against weather events like low sunshine and poor wind availability, which are uninsurable in the traditional market.

Parametric cover provides financial stability, especially at a time when weather patterns have been fluctuating due to climate change.

Pankaj Tomar, Head of India at consulting firm AXA Climate, says renewable energy is one area that is picking up very fast in terms of parametric insurance in India.

"Certain parts of India have witnessed diminishing wind and solar radiation due to climate change, which is likely to impact the country's ambitious clean energy plans. Stakeholders will need

to protect their investments and parametric insurance is clearly a viable solution," Tomar tells *BT*.

All major insurance and re-insurance players have been offering parametric products for solar and wind power projects. For the first time, a product has been devised for a big hydroelectric project in Uttarakhand, hedging against risk from floods and earthquakes.

This comes at a time when lenders and investors of renewable energy assets are getting concerned about profitability.

"Investors are increasingly concerned about the trend of decreasing wind energy potential, particularly in regions where large pools of wind farms have already been established. This is driving the demand for parametric insurance solutions," Tomar adds.

Not just in the energy sector, e-commerce players, FMCG compa-

COUNT OF CHAOS

YEAR 2022	YEAR 2023
DAYS AFFECTED (OUT OF 365) 314	DAYS AFFECTED (OUT OF 365) 318
CROP AREA AFFECTED (HECTARES) 1.96 MILLION	CROP AREA AFFECTED (HECTARES) 2.21 MILLION
HOUSES DAMAGED 423,200	HOUSES DAMAGED 86,432
ANIMAL DEATHS 69,899	ANIMAL DEATHS 124,813

SOURCE CSE

EXTREME WEATHER EVENTS

YEAR 2022	YEAR 2023
HEAVY RAINS, FLOODS, LANDSLIDES 214	HEAVY RAINS, FLOODS, LANDSLIDES 208
LIGHTNING AND STORMS 185	LIGHTNING AND STORMS 202
HEATWAVES 66	HEATWAVES 49
COLD WAVES 46	COLD WAVES 29
CLOUDBURSTS 11	CLOUDBURSTS 9

